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Feed-in Tariffs (FIT)

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Feed-in Tariff Annual Levelisation Process (2018-2019)

The annual reconciliation process for the Feed-in Tariffs (FIT) scheme covering the period 1 April 2018 to 31 March 2019 was completed on 27 September 2019. In addition to the Annual Levelisation process, Ofgem completed a Levelisation Correction for Year 9 on 21 August 2020. This was deemed necessary for a number of reasons including some difficulties faced during the initial calculation as well as mistakes made by some suppliers in their levelisation submissions.

The correction reconciled all payments made as part of the quarterly processes and the annual process within the ninth year of the FIT scheme, including contributions from suppliers with revoked licences and mutualisation payments. A total of 276,633,875.479MWh of electricity supplied was reported by Licensed Electricity suppliers during this annual period. This included a total claim of 33,253,446.000MWh of exempt supply, although due to an annual cap of 9,821,877.34MWh for the 2018-19 period, only the capped value was used. As a result, the **Total Relevant Electricity Supply** was **266,811,998.139MWh**.

The total **Levelisation Fund** for the year was calculated at **£1,414,741,502.41**. This figure represents the cost of the scheme during the annual period, and consists of the Total Generation Payments (£1,408,981,588.58), Export (Deemed only) Payments (£55,517,774.71), and Qualifying (administration) Costs (£17,230,225.00), minus the Value of Deemed Export to licensed electricity suppliers (£66,988,085.88).

A total of **£1,512,224,876.13** was reported by FIT Licensees as having been made to installations registered under the scheme. This figure includes a total of £1,408,981,58 8.58 of Generation payments and £103,243,287.55 of Metered and Deemed Export payments.

In order to complete the annual reconciliation process, the sum of £56,725,548.75was paid into the Levelisation Fund by licensed electricity suppliers as part of the Annual Levelisation process and the Levelisation Correction process. A total of £58,912,401.87 was then redistributed amongst licensed electricity suppliers during the Annual Levelisation and Levelisation Correction processes, concluding the annual reconciliation process for the 1 April

2018 to 31 March 2019 period. The amount paid out was higher than the amount received due mainly to late periodic levelisation payments made within the year and a supplier periodic levelisation payment which was witheld by Ofgem.

Backgroud information:

1. The Feed-in Tariff scheme was introduced on 1 April 2010 to promote the uptake of smallscale renewable electricity generation. It requires participating Licensed Electricity Suppliers (FIT Licensees) to pay tariffs to generators (installation owners) for electricity generated and exported.

2. FIT Licensees are responsible for registering eligible installations, processing generation data, and making payments, while all licensed electricity suppliers are required to participate in Ofgem's levelisation process.

3. The levelisation process is currently a quarterly procedure, with an annual reconciliation process at the end of each FIT year (1 April – 31 March).

4. During each levelisation process all licensed electricity suppliers are required to provide information to Ofgem on how much electricity they have supplied for the relevant period. FIT Licensees are also required to submit information on any FIT payments claimed by generators in this period. Using this data, along with any claimed qualifying (administration) costs, Ofgem calculates the amount owed by licensed electricity suppliers into the Levelisation Fund, based on the electricity supply market share of each supplier in Great Britain, after any relevant exemptions are applied. This allows for the scheme costs to be redistributed evenly among all Licensed Electricity Suppliers. The Levelisation Fund is then redistributed to FIT Licensees that have made more payments than they would be required to by their market share contribution.

5. More detailed information on the Feed-in Tariff scheme for the 2018-19 period is available in the FIT Annual Report for Year 9, which can be found on the Ofgem website.